
REPORT TITLE: Options to Address Growth-Related Capital Funding Challenges

FROM: Gary Kent, CPA, CGA, ICD.D, Chief Administrative Officer

RECOMMENDATION

That all new growth-related capital procurements for water and wastewater be paused until such time a commitment of funding, through an executed financial agreement, is secured and the required funding is received immediately in an amount sufficient to allow the water and wastewater capital program to proceed as originally planned and re-evaluate in 2027.

REPORT HIGHLIGHTS

- Peel Region has pursued an aggressive strategy to deliver growth - related capital infrastructure that supports future development and meets provincial and municipal objectives to increase housing supply.
- Peel Region is still committed to building the infrastructure needed to support growth but recent changes to Development Charge (DC) legislation, development incentives, and a general slowdown in construction have created serious financial pressure. These changes have made it harder to pay for new infrastructure and to manage rising debt payments without support from upper levels of government.
- DC Reserve Fund deficits are being offset by unspent committed State- of- Good- Repair (SOGR) Reserves. These reserves are also needed to pay for ongoing repair and maintenance projects. If the Region relies too much on SOGR funds to cover DC deficits, there is a real risk that important SOGR projects won't be able to move forward as planned. This could lead to higher long - term costs and a greater chance of major service disruptions.
- \$700 million is required from upper levels of government in 2026 to keep Peel Region's original water and wastewater construction plans on track and to keep the DC Reserve Funds balanced, with further funding requirements of \$650 million in 2027.
- Additional options have been developed to help deal with the cash - flow shortage in the DC Reserve Funds and to strengthen the Region's financial position if funding from upper levels of government does not come through right away. These options can be adjusted based on how much financial risk Council is willing to take, how the changes would affect utility ratepayers and property taxpayers, and whether the Region can keep its planned capital projects moving forward.
- The Prime Minister and Premier of Ontario announced a new partnership between Canada and Ontario to build more affordable homes, infrastructure, and transit. This is a positive step which would have them cost-match a total of \$8.8 billion over 10 years to support housing-enabling infrastructure projects for municipalities that reduce residential DCs between 30 to 50 per cent for a duration of three years. The province further mentioned that it will recognize municipalities that have already reduced their residential

Options to Address Growth-Related Capital Funding Challenges

DCs and the province has also committed to working with the Association of Municipalities of Ontario (AMO) to design the program.

- Peel Region is seeking an immediate commitment of funding through a financial agreement, along with access to these funds immediately, to maintain momentum on the growth-capital program essential for delivering housing-enabling infrastructure.

DISCUSSION

1. Background

Peel Region has been working hard to build the infrastructure needed to support growth and meet provincial and municipal goals for increasing housing. Because of this fast pace, the Region has had to run its DC Reserve Funds in a deficit and rely on DC- supported debt to move important projects forward. This is mainly because DCs are collected later than when the Region needs to spend money on construction.

However, several changes have made managing these cash- flow pressures increasingly challenging. Bill 17 moved DC payments to the time of occupancy, Regional Council approved grants- in- lieu of DCs, the province made other DC- related changes, and development activity has slowed down overall. All of this has made it harder to fund growth projects and manage rising yearly debt payments.

The grants- in- lieu of DCs approved under the DC Deferral and Grant Program must be paid for using non- DC funding, as required by law. If the Region does not receive funding from upper levels of government, these grants will need to be covered by higher utility rates and property taxes. Even though the law does not say exactly when these grants must be repaid, the lost DC collections still reduce the balance in the DC Reserve Funds.

As of April 30, 2026, the Region had \$145 million in grants- in- lieu of DCs committed through agreements under the DC Deferral and Grant Program. These incentives could support about 21,000 housing units, and modelling shows the total value of grants-in-lieu of DCs could reach up to \$560 million.

Federal and Provincial Announcement

On March 30, 2026, the Prime Minister and Premier of Ontario announced a new partnership between Canada and Ontario to build more affordable homes, infrastructure, and transit. This is a positive step which would have them cost-match a total of \$8.8 billion over 10 years to support housing-enabling infrastructure projects for municipalities that reduce residential DCs between 30 to 50 per cent for a duration of three years. The province further mentioned that it will recognize municipalities that have already reduced their residential DCs and the province has also committed to working with the Association of Municipalities of Ontario (“AMO”) to design the program. Peel Region staff have reached out to the province and AMO for further clarity and are closely monitoring any further developments.

Options to Address Growth-Related Capital Funding Challenges

2. Findings

A **status quo** financial forecast (Table 1) shows that if current spending continues, the DC Reserve Funds will fall much deeper into deficit. The **deficit is expected to grow to about \$700 million by the end of 2026 and \$2.7 billion by the end of 2030, even after adding \$3 billion in new DC- supported debt.** This forecast assumes that all planned construction projects and purchases move ahead as scheduled.

Table 1: Status Quo - DC Reserve Funds Balance Forecast

(\$ millions)	2026	2027	2028	2029	2030
Opening DC Reserve Funds Balance	(\$416)	(\$728)	(\$1,168)	(\$1,568)	(\$1,930)
DC Collections	\$124	\$108	\$197	\$306	\$365
DC Capital Expenditures	(\$756)	(\$829)	(\$835)	(\$1,149)	(\$1,466)
DC Debt Principal and Interest	(\$180)	(\$219)	(\$262)	(\$319)	(\$385)
DC Debt Proceeds	\$500	\$500	\$500	\$800	\$750
Closing DC Reserve Funds Balance	(\$728)	(\$1,168)	(\$1,568)	(\$1,930)	(\$2,666)

A small deficit in the DC Reserve Funds can be managed for a short time, but the current deficit is too large and cannot be sustained. It also creates serious risks for Peel Region's long- term financial health. The DC Reserve Fund deficits are being offset by unspent committed SOGR Reserves, which are also needed to maintain and repair existing infrastructure. Relying too much on these reserves could delay important repair projects. If repairs are delayed, the Region may face higher long- term costs, such as:

- faster wear and tear on infrastructure
- more emergency repairs
- rising construction prices
- a higher chance of major service disruptions

This forecast does not account for additional impacts resulting from a further three-year extension to the deadline of the DC Deferral and Grant Program tied to the Canada-Ontario Partnership to Build initiative, such as additional grants-in-lieu of DCs obligations, a further shift in timing of DC collections, or upper level funding secured for qualifying capital projects as well as new front-ending financing development agreements.

The projection shows that Peel Region's annual debt- servicing costs (the money needed to pay back principal and interest) will hit the 25 per cent legislative limit before the end of the next ten years. Rapid growth in capital spending, lower- than- expected DC collections, and a growing dependence on debt have created immediate financial pressure. This also puts Peel Region's AAA/Aaa credit rating at risk, a concern reflected in S&P Global Ratings' (S&P) February 2026 move to a negative outlook, citing record capital spending and lower DC collections. S&P could revise the outlook to stable should there be a recovery in DC collections and/or increased funding from upper levels of government.

Right now, DC collections are not enough to cover the yearly debt payments. This means Peel Region will need to use utility rates and property taxes to make up the difference unless another funding source is found. The borrowing shown in the current forecast also does not include any extra debt that may be needed for other Region services, like police, housing, and paramedics, or debt taken on for local municipalities.

Options to Address Growth-Related Capital Funding Challenges

If Peel Region continues with the current plan, it will need immediate new funding, delays to planned capital projects, or a mix of both, to reduce the DC Reserve Fund deficit.

Staff have identified three options for Council to consider dealing with the cash-flow shortfall in the DC Reserve Funds if funding from upper levels of government does not come through soon. These options can be adjusted based on Council's comfort with financial risk, the impact on utility and property taxpayers, and the need to keep the capital program moving forward.

a) Option 1: Pause New Growth-related Capital Procurements

Without immediate new funding from upper levels of government—or large increases to utility rates and property taxes to support growth-related water and wastewater projects—the Region would have to pause all new growth-related capital procurements for water and wastewater.

Even with a pause, Option 1 still requires more borrowing for projects already underway. It would also require higher utility rates and property taxes to cover the gap between what the Region collects in DCs each year and what it owes in yearly debt payments. Under this option, the Region would **raise \$53 million more per year from 2027 to 2030**, starting with the 2027 Budget. This would create a steady, predictable source of funding each year. Because this money comes from non-DC sources, it would also meet the legal requirement to fund grants given instead of DC payments.

According to Table 2, the DC Reserve Fund deficit would be gone by 2029 if only projects that have already been awarded for water and wastewater are allowed to continue. Although not shown in the table, the Region could also reduce DC-supported borrowing in 2029–2030 to bring the balance back to zero. Another option would be to slowly restart new growth-related capital procurements as more DC collections comes in from increased development.

Table 2: Pause New Growth-related Capital Procurements

(\$ millions)	2026	2027	2028	2029	2030
Opening DC Reserve Funds Balance	(\$416)	(\$582)	(\$589)	(\$358)	\$342
DC Collections	\$124	\$108	\$197	\$306	\$365
DC Capital Expenditures	(\$610)	(\$449)	(\$257)	(\$140)	(\$96)
DC Debt Principal and Interest	(\$180)	(\$219)	(\$262)	(\$319)	(\$385)
DC Debt Proceeds	\$500	\$500	\$500	\$800	\$750
Base Funding from Utility and Property Rate Increase	\$0	\$53	\$53	\$53	\$53
Closing DC Reserve Funds Balance	(\$582)	(\$589)	(\$358)	\$342	\$1,029

Outcome: While Option 1 improves the Region's financial situation, it comes with risks. These include higher costs for delayed projects, challenges for future development if market conditions change, impacts on current and planned repair projects, delays to coordinated work, and postponing inspections and repairs of important existing infrastructure.

Options to Address Growth-Related Capital Funding Challenges

b) Option 2: Keep Going

If the Region wants to continue with the capital program and planned projects as originally scheduled, it will need to raise utility rates and property taxes starting in the 2027 Budget. Because this money would come from non- DC sources, it would also meet the legal requirement to fund grants given instead of DC payments.

Table 3 shows that utility rates and property taxes will need to increase to **raise an extra \$650 million in ongoing funding starting in 2027** if no new money comes from upper levels of government. This would create a steady, reliable source of funding each year to support growth- related infrastructure when DC Reserve Funds are not enough.

Table 3: Keep Going

(\$ millions)	2026	2027	2028	2029	2030
Opening DC Reserve Funds Balance	(\$416)	(\$728)	(\$518)	(\$268)	\$20
DC Collections	\$124	\$108	\$197	\$306	\$365
DC Capital Expenditures	(\$756)	(\$829)	(\$835)	(\$1,149)	(\$1,466)
DC Debt Principal and Interest	(\$180)	(\$219)	(\$262)	(\$319)	(\$385)
DC Debt Proceeds	\$500	\$500	\$500	\$800	\$750
Base Funding from Utility and Property Rate Increase	\$0	\$650	\$650	\$650	\$650
Closing DC Reserve Funds Balance	(\$728)	(\$518)	(\$268)	\$20	(\$66)

Outcome: Option 2 would strengthen Peel Region's financial position and allow new growth -related capital procurements to continue as planned. However, it would also place a major financial burden on residents, mainly because of the large increase in utility rates. Therefore, staff does not recommend Option 2 as it is not practical, unless funding is received from upper levels of government to make up the annual base funding shortfalls.

c) Option 3: Some Capital Project Deferrals ("Concept Plan")

Delaying planned growth-related capital projects—reducing spending by 56% (about \$732 million) in the 2026–2028 capital plan for water and wastewater—along with increases to utility rates and property taxes, would lower the immediate cash - flow pressure. This would also raise extra money to continue some of the capital projects that were originally planned. More details about this plan can be found in the May 28, 2026 Regional Council report called the "Water and Wastewater Infrastructure Phasing Conceptual Plan."

Table 4 shows that utility rates and property taxes will need to increase to **raise an extra \$450 million in ongoing funding starting in the 2027 Budget** if no new money comes from upper levels of government. This would create a steady source of funding each year for growth- related infrastructure when DC Reserve Funds are not enough. Because this money comes from non- DC sources, it would also meet the legal requirement to fund grants given instead of DC payments.

Options to Address Growth-Related Capital Funding Challenges

Table 4: Some Capital Project Deferrals (“Concept Plan”)

(\$ millions)	2026	2027	2028	2029	2030
Opening DC Reserve Funds Balance	(\$416)	(\$646)	(\$426)	\$64	\$152
DC Collections	\$124	\$108	\$197	\$306	\$365
DC Capital Expenditures	(\$674)	(\$619)	(\$395)	(\$1,149)	(\$1,466)
DC Debt Principal and Interest	(\$180)	(\$219)	(\$262)	(\$319)	(\$385)
DC Debt Proceeds	\$500	\$500	\$500	\$800	\$750
Base Funding from Utility and Property Rate Increase	\$0	\$450	\$450	\$450	\$450
Closing DC Reserve Funds Balance	(\$646)	(\$426)	\$64	\$152	(\$134)

Outcome: Option 3 improves Peel Region’s financial position, but it comes with risks. These include higher costs for paused projects, challenges for future development if market conditions change, impacts on current and planned repair projects, delays to coordinated work, and postponing inspections and repairs of important infrastructure. It would also place a significant financial burden on residents because of the large increase in utility rates. Therefore, staff does not recommend Option 3 as it is not practical, unless funding is received from upper levels of government to make up the annual base funding shortfalls.

3. Proposed Direction

Staff recommend pausing all new growth-related capital procurements for water and wastewater and seek an immediate commitment of funding through a financial agreement, along with access to the funds immediately, to maintain momentum on the growth-related capital program essential for delivering housing-enabling infrastructure.

RISK CONSIDERATIONS

There is still a big risk that future DC collections will stay low if the slowdown in development continues and the economy remains uncertain. Even though both the Region and local municipalities have introduced incentives to encourage development, there is still a chance that the forecasted DC collections may not happen as expected. This is especially challenging for municipalities such as Peel Region that deliver water and wastewater infrastructure many years (sometimes a decade or more) in advance of when development and the resulting DC collections occur.

Any mix of funding from upper levels of government or delaying/reducing capital projects will only temporarily fix the problems caused by lower DC collections. These problems come from slower residential construction, new legislation that reduce DCs, and DC incentives approved by Council. To keep up with the higher level of capital spending—and the debt payments that come with it—the Region needs stable, long-term funding to meet provincial and municipal goals for increasing housing supply.

Options to Address Growth-Related Capital Funding Challenges

Future funding could come from several sources, including:

- Immediate funding from upper levels of government to help keep housing affordable and reduce the financial pressure on residents;
- Large increases to utility rates and property taxes; and,
- Eventual DC collections once the housing market improves and new buildings reach occupancy.

BILL 45, BILL 60 AND BILL 98 RISKS AND IMPLICATIONS

On December 11, 2025, Bill 45 (*Peel Transition Implementation Act, 2025*) received Royal Assent and initiated a phased transfer of certain services from the Regional Municipality of Peel to the Cities of Mississauga and Brampton, and the Town of Caledon. Responsibility for regional roads and stormwater infrastructure is scheduled to transfer by July 1, 2027, followed by waste collection services by October 1, 2027.

On November 27, 2025, Bill 60 (*Fighting Delays, Building Faster Act, 2025*) received Royal Assent and introduced additional changes, including amendments to the *Municipal Act, 2001* transferring jurisdiction over water and wastewater utilities to lower-tier municipalities effective January 1, 2029, or a later prescribed date. Bill 60 also enacted the *Water and Wastewater Public Corporation Act, 2025*, enabling designated public utility corporations to deliver water and wastewater services on behalf of municipalities. On March 30, 2026, the provincial government tabled Bill 98 (*Building Homes and Improving Transportation Infrastructure Act*), which provided further details respecting this model, although additional regulations are required to fully implement the proposed framework.

At this time, the full legal, financial, and operational implications of Bill 45, Bill 60, and Bill 98 for Peel Region and its local municipalities remain uncertain. Staff will continue to monitor legislative and regulatory developments and report back to Council as further information becomes available.

FINANCIAL IMPLICATIONS

Peel Region is facing several major challenges as it tries to build the infrastructure needed for future growth. These issues affect Peel Region's ability to support new development and meet both provincial and local goals for increasing housing supply:

- Slower development means fewer DCs coming in.
- Bill 17 changes and Peel's DC Deferral and Grant Program also reduce DC collections.
- Peel only gets DCs when buildings are occupied, not when permits are issued. Occupancy can take 12–24 months, delaying money the Region needs now.
- Peel must borrow money earlier than expected to keep building infrastructure.
- Grants-in-lieu of DCs reduce how much developers pay later, lowering DC Reserve Funds even more.
- Peel relies almost entirely on debt for water and wastewater growth projects.
- Annual DC collections are currently forecast to be lower than annual debt-servicing payments.
- Low DC collections mean Peel Region may need to use utility rates and property taxes to cover debt payments.

Options to Address Growth-Related Capital Funding Challenges

- Peel is expected to hit the 25 per cent annual repayment limit (ARL) before the end of the next ten years. Once the ARL is reached, Peel cannot borrow more, even for other Region services, including police.
- Without provincial or federal support, Peel faces higher financial risk and less flexibility to address unplanned events.

CONCLUSION

Peel Region is still committed to building the infrastructure needed to support growth. However, recent changes to DC laws, development incentives, and the slowdown in construction have created serious financial pressure. These changes have made it harder to pay for new infrastructure and manage rising debt costs without help from higher levels of government.

Peel Region will require \$700 million from upper levels of government in 2026 to keep its original water and wastewater construction plans on track and to keep the DC Reserve Funds balanced. Staff have prepared several options for Council to deal with the cash-flow shortage in the DC Reserve Funds if funding from upper levels of government does not arrive soon. These options can be adjusted based on how much financial risk Council is willing to take, how the changes would affect utility ratepayers and property taxpayers, and whether the Region can keep its capital projects moving as planned.

Staff will continue to monitor the details of the new Canada - Ontario Partnership to Build and how it may affect the Region's DC Deferral and Grant Program.

Staff recommend pausing all new growth-related capital procurements for water and wastewater and seek an immediate commitment of funding through a financial agreement, along with access to the funds immediately, to maintain momentum on the growth-related capital program essential for delivering housing-enabling infrastructure.



Gary Kent, CPA, CGA, ICD.D, Chief Administrative Officer

Authored By: Davinder Valeri, Chief Financial Officer and Commissioner of Corporate Services